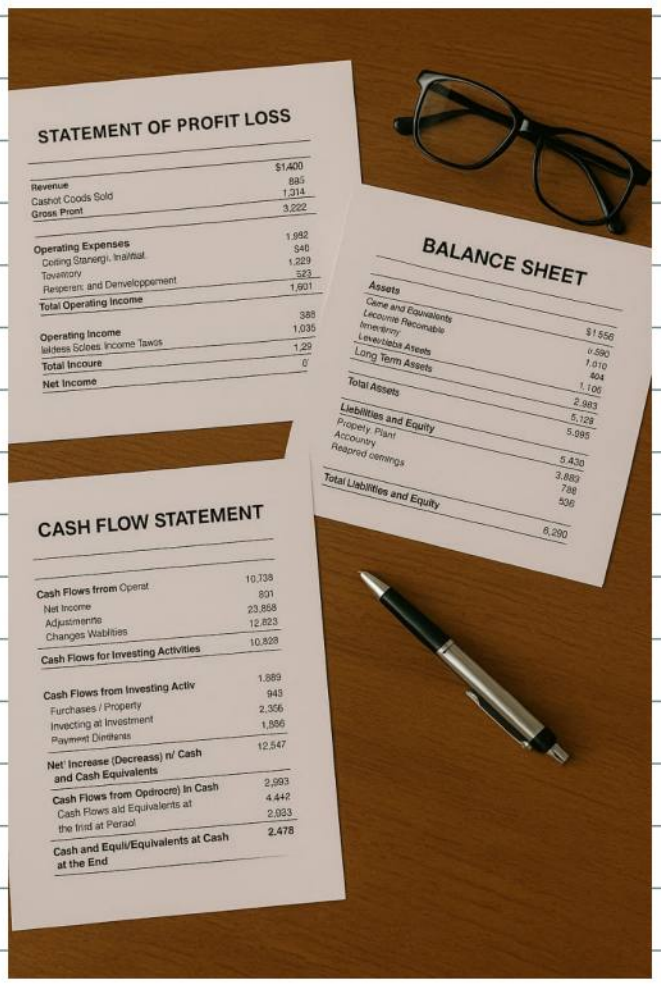
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Unit 3 - Accounts of Company

Sections -

- 128 - books of accounts to be kept by company
- 129 - financial statement
- 133 - central government to prescribe accounting standards
- 134 - boards report
- 135 - Corporate social responsibility
- 136 - right of members to copies of audited financial statement
- 137 - copy of financial statement to be filed with registrar
- 138 - internal audit







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Books of Accounts — Section 2(13)

All the records maintained for

- Receipts & Expenditure
- Sales & purchases
- Assets & liabilities
- Items of cost

etc..

Maintenance of Books of Accounts — 128(1)

Company shall prepare

- Books of Accounts
- Books & papers
- Financial Statements

for every financial Year

- should give 'True and fair view' of the state of affairs of the Company
- kept on Accrual basis
- according to Double entry system of Accounting

kept at the Registered office

- including Branch office or offices
- If any, explain the transactions which effected both Registered as well as Branch office

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Place of maintainence of Books

Place where the Books can be kept
- Registered office
- Any other place in India → decided by the BOD

Company shall file a notice in writing -
→ full address
→ Board's decision
→ with ROC
→ within 7 days of such decision

Electronic form of Books of Accounts

The Company may keep the Books of Accounts and other relevant papers in electronic mode in a manner as may be prescribed

Rule 3 of the Companies (Accounts) Rules, 2014

- Remain accessible in India at all times → for subsequent reference
- Informations from Branch office shall remain
  - unaltered
  - in original format
- to be retained in
  - original format or format which presents accurate informations → Complete & unaltered
- Information shall be displayed in legible form.
- proper system
  - storage
  - retrieval
  - display
  - print out
- approved by Audit or BOD Committee → Can't be disposed off, unless permitted by law
- Back up of all the BOA, paper shall be kept in servers physically located in India on a daily basis

The Company shall intimate to the Registrar on Annual Basis

- Service Provider
  - Name
  - Internet protocol address
  - location
- cloud address → where BOA etc are maintained

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Proper Books of Accounts of Branch office of company — 128(2)

If a company has Branch office
- in India
- outside India

→ proper BOA of Branch → kept in Branch office

Provided

proper summarized Returns periodically → sent by branch office → to
- Registered office
- or
- any other place

→ decided by BOD

Persons who can Inspect — 128(3)

Books of accounts & papers maintained

within India → shall be open for inspection
- in registered office
- or
- any other place

→ by Directors in Business hours

Outside India → copies of such financial information shall be produced for inspection by director

The Inspection of BOA of subsidiary shall be done only by the person authorized by the BOD

Conditions

1) summarised returns of BOA maintained outside India → shall be sent to the registered office in quarterly intervals → shall be kept for Inspection by director in Registered office or any other place

2) Any other financial Information is required → by the director → he shall furnish a written Request and sought
→ full details of financial Info
→ period of financial Info

3) Company → within 15 days from the receipt of Request → produce the financial Information

128(4)

The officers and employees should give reasonable assistance to the person making inspection.

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Period of Maintenance — 128(5)

Books of Accounts + Papers

shall be maintained by Every Company

in a proper order

for a minimum period of 8 financial Years from such immediately preceding financial Year

- when the company is in existence for a lesser period
  - it shall maintained for such whole period
- if the CG orders to keep the BOA for a longer period
  - then the BOA shall be kept for such period

Persons Responsible for Maintenance and Penalty — 128(6)

MD, WTD(finance), CFO or Any other person charged by Board.

→ ≥ ₹ 50,000 ≤ ₹ 5 lakhs

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Financial statements 129

financial statement includes 2(40)

- Balance sheet
- profit & loss A/c or Income & Expenditure A/c
- Cash flow statement
- Statement of changes in equity
- an explanatory note to all the above

financial statement w.r.t

- OPC
  - may not include cash flow statement
- Small company
- Dormant company

Section 129(1)

Financial statements shall:

- give true & fair view of the state of affairs of the company.
- comply with Accounting Standards
- be in the form specified in Schedule III

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129(1) — Shall not apply to:
- Insurance Companies
- Banking Companies
- Companies engaged in generation & supply of electricity
- Any other class

→ for which different forms of FS is specified in their governing Acts

Laying of financial Statements at Annual General Meeting — 129(2)

Every AGM — BOD — shall submit — the FS of each FY.

Consolidated Financial Statements — 129(3)

When a Company — has one or more subsidiaries or Associate Companies — it shall in addition to FS.

→ Prepare CFS of Company
subsidiary
associates
joint venture
in same form & manner as FS of its own
and
as per Applicable Accounting Standards

→ submit CFS along with FS in the Annual General Meeting

The Company shall attach with FS salient features of financial statements of subsidiary/ies of Company in Form AOC-1

CFS — shall be prepared as per — Schedule III and Accounting Standards

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Deviations from Accounting Standards — 129(5)

If the FS of company do not comply with AS

Then the company disclose in its FS

- the deviations from AS
- the Reasons for deviations
- the financial effects of such deviations

Exemptions by Central government for Public Interest — 129(6)

Central Govt. — on its Own / or / On application → exempt any company → from complying this section and Rules there under.

Contraventions — 129(7)

Company contravenes section 129 –

Whether the following officers are present ?

MD | WTD (Finance) | CFO | Any Other person

- Yes → above persons
- No → all directors

→ Imprisonment upto 1 Year
Fine from ₹ 50,000 to ₹ 5 lakhs
or Both

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Periodical Financial Results — 129A

Central govt. may require few unlisted companies

to

- prepare financial Results on periodic Basis
- obtain Approval of BOD
- Complete Audit or Limited Review
- file a copy with the registrar within 30 days of completion

Central Government to Prescribe Accounting Standards — 133

This section empowers

Central Government to Prescribe AS

Recommended by ICAI Institute of Chartered Accountants of India

in consultation with & after examination of recommendations given by NFRA National Financial Reporting Authority

Financial Statements and Board's Report — 134

Financial Statements — 134(1)

After Approval of Board

Shall be signed by

- Chairperson (authorised by Board) / 2 Directors (1 shall be MD)
- & CEO & CFO & CS

In case of OPC, one director

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134(2) Auditor's Report shall be attached to FS.

134(7)

Signed copy of FS + CFS → along with → Notes, Auditor's Report, Board's Report → shall be issued, circulated and published

Board's Report — 134(3)

Board's Report shall be attach with the other statements and laid down in AGM.

Contents of Board's Report

1. Web address, where such Annual Return has been placed
2. No. of BMs
3. Director's Responsibility statement
4. Details of Fraud reported by Auditor, other than those reportable to CG.
5. In case a company needs to constitute NRC Committee, then NRC policy in appointment, remuneration and other matters of directors.
6. A statement on declaration given by Independent Director
7. Particulars of loans, guarantees etc U/S 186
8. The state of Company's Affairs

9. Amounts carried to any Reserves

10. Amounts recommended to be paid by way of dividend.

11. Particulars of Contracts & Arrangements with Related Parties u/s 188

12. Explanations for every qualification, adverse remark or deadlaimer made by
    a) auditor in his report
    b) CS in secretarial audit report

13. details about CSR policy

14. Every
    - listed Co.
    - Public Co. with PUSC ≥ ₹ 25 crores

    → shall include → formal Annual evaluation of performance of
    - → BOD
    - → Committees
    - → Individual dir.

Board's Report in case of OPC — 134(4)

shall include → Explanations & Comments by Board → on → Qualification, Adverse Remark, Disclaimer made by Auditor in his Report

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Directors Responsibility Statement — 134(5)

Shall state that –

- In preparation of Annual Accounts, the Applicable AS are followed along
- directors have selected & consistently followed such Accounting policies which give true & fair view of state of affairs of the Company.
- directors had taken proper and sufficient care in maintenance of Assets
- directors have prepared annual accounts on going concern Basis
- directors have maintained proper systems for compliance of all applicable laws.
- the directors, in case of a listed company laid down & followed adequate internal financial controls.

Signing of Board's Report — 134(6)

Board's Report

Shall be signed by

- Chairperson, authorised by Board
- OR
- at least 2 directors, out of which one shall be MD
- OR
- by the Director, when there is only 1 director

Corporate Social Responsibility Committee — 135

Every company having

- Net Worth ≥ ₹ 500 crores
- (OR)
- Turnover ≥ ₹ 1000 crores
- (OR)
- Net profit ≥ ₹ 5 crores

during the immediately preceeding financial year is required to

→ to constitute a CSR committee
→ to formulate CSR policy

Constitution of CSR Committee

Consisting 3 or more directors out of which at least one should be Independent director.

The Board's Report u/s 134(3) shall disclose constitution of CSR Committee

CSR Committee shall

- (a) formulate & recommend the Board
  - CSR Policy
    - which shall indicate the activities to be undertaken by the Co.
      - as specified in Schedule VII
- (b) recommend the Amount of expenditure to be incurred for the activities in (a)
- (c) monitor the CSR Policy of the Co. from time to time

Board of the company, after recommendations are made -

- Approve the CSR Policy and
  - disclose the contents in the Report
  - place it on Company's website
- ensure the activities are undertaken by the Co.
- spend at least 2% of the Average Net profits of the last three financial years
  - Average Net Profits calculated as per Section 198

Company shall give preferance to local areas & areas around it to spend such amount

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if the Co. fails to spend such Amount

→ The Board in its Report

→ Specify the reasons for not spending

Unspent Amount of CSR

→ On going projects

→ Transfer to Unspent CSR A/c

→ within a period of 30 days from the end of FY

→ shall be used for the purpose of the ongoing project

→ during the next 3 years

→ if failed

→ Transfer to the fund specified in Schedule VII

→ within a period of 30 days from the end of 3rd FY

→ Other than on going projects

→ Transfer to the fund specified in Schedule VII

→ within a period of 6 months from the end of FY

Right of Members to Copies of Audited Financial Statements

136

Copy of financial statements
+ CFS
+ Auditor's Report
+ Any other annexures required by law

laid down in GM shall be sent to

1) Every member
2) Every trustee of debenture holder
3) Every other person entitled to

of the Company

shall be sent is not less than 21 days before the Meeting

=

May be sent in less than 21 days when share holders with 95% voting agree

for section 8 Companies
21 days ⟶ 14 days

A Company shall allow

every member

Trustee of debenture holders

to inspect AFS at

Registered office during Business Hours

for listed Companies – above provisions shall be deemed to be complied if

Copies of all documents are made available for Inspection at the Registered office during working hours

a statement containing the key features of the documents to be sent to the above.

21 days before the meeting

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All listed Companies

Public Co. — Net Worth > ₹ 1 crores and Turnover > ₹ 10 crores

may send FS by

- electronic mode
  - Share holders holding shares in demat form
  - Shareholders not holding shares in demat form + written consent given for receiving through electronic mode
- despatch of physical copies — in all other cases

listed co. shall place FS + CFS + other documents on its website

Every listed Co. having subsidiary/ies shall

- place the separate Audited FS of subsidiary on its website
- provide a copy of SFS to shareholder of Co. who asks for it

if foreign subsidiary – not required to get FS audited as per the laws of that country

place the unaudited FS – on its website (Indian Holding Co.)

if in any language other than English → translated version shall be placed.

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Copy of FS to be filed with the Registrar — 137

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Annual General Meeting

Held 137(1)

Copy of FS + CFS + other documents to be presented

- **adopted**
  - filed with Registrar within 30 days of the date of AGM
- **Unadopted in AGM / Adjourned AGM**
  - filed with Registrar within 30 days of the date of AGM
  - takes them as Provisional records
  - further adopted in Adjourned AGM
  - filed with Registrar within 30 days of the date of meeting

Not Held 137(2)

Copy of FS + CFS + other documents to be presented

+

Statement of facts and Reasons for not holding AGM

- file with ROC
- within 30 days from the last date the AGM should have been held

In case of OPC, FS adopted by its member + other documents — to be filed with ROC within 180 days from the closure of FY.

Company shall also file with Registrar with other documents

the AJc's of subsidiary/ies

incorporated outside India + No place of business in India

if as per the laws of that country - FS are not required to be audited

unaudited accounts to be filed

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Internal Audit — 138

came into force — 01.04.2014

an existing co. shall comply with this section within 6 months from the date of commencement of this section

following class of companies are required to appoint an Internal Auditor

- Individual (or)
- Partnership firm (or)
- Body corporate

- Every listed Company
- Every unlisted Public Company
  - PUSC ≥ ₹50 cr (OR)
  - Turnover ≥ ₹200 cr (OR)
  - O/S loans or borrowings from Banks & PFI > ₹100 cr (OR)
  - O/S deposits ≥ ₹25 cr
- Every private Company
  - Turnover ≥ ₹200 crores (OR)
  - O/S loans or borrowings from Banks & PFI > ₹100 cr

Who can be appointed as Internal Auditor

- Chartered Accountant
- Cost Accountant
- any professional decided by BOD

in practice or not

may or may not be an employee of the Co.

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